A.P.C.HW



ALIEN PROPERTY CUSTODIAN

ARLINGTON BUILDING
VERMONT AVENUE AND H STREET

WASHINGTON

February 10
1927

Mr. Thomas Griffin,
Division of Publications,
State Department,
Washington, D. C.

Dear Sir:—

There has been sent to you from the White House an Executive Order signed by the President to-day authorizing this office to sell at private sale certain shares of Western Maryland Railway Company stock.

Kindly treat this Executive Order as confidential.

Very truly yours,

Howard Sutherland

HOWARD SUTHERLAND,
Alien Property Custodian.

H:/mh

Mr. Latta of the White House approved that the Executive Order be kept confidential.

Released March 18, 1935

DEPT. OF STATE
FEB 10 1927
DIVISION OF PUBLICATIONS

Chief Clerk and
Administrative Assistant

Department of State

EXECUTIVE ORDER

AUTHORIZING THE ALIEN PROPERTY CUSTODIAN TO SELL AT PRIVATE SALE CERTAIN SHARES OF STOCK OF THE WESTERN MARYLAND RAILWAY COMPANY

By virtue of the authority vested in me by an Act of Congress entitled "An act to define, regulate, and punish trading with the enemy and for other purposes", approved October 6, 1917, known as the "Trading with the Enemy Act", and the Amendments to such Act embodied in "An act making appropriations to supply urgent deficiencies in the appropriations for the fiscal year ending June 30th, 1918, and prior fiscal years on account of war expenses and for other purposes", approved March 28th, 1918, and the amendment to such act embodied in "An Act making appropriations to supply deficiencies in appropriations for the fiscal year ending June 30th, 1919, and prior fiscal years on account of war expenses, and for other purposes", approved November 4th, 1918, and all other amendments thereto, to make certain orders such as that herein contained, I hereby, in the public interest, make the following determination, order, rule and regulation:

The Alien Property Custodian is hereby authorized to sell at private sale at such time as to him or his authorized agent may seem advisable without public or other advertisement 19,070 shares of First Preferred Stock and 55,000 shares of Common Stock of the Western Maryland Railway Company, a corporation incorporated under the laws of the States of Maryland and Pennsylvania, of $100.00 par value, heretofore required to be conveyed, transferred, assigned and delivered to the Alien Property Custodian as the property of the Deutsche Bank of

Berlin.

My reasons for the foregoing determination and order are:

First: That no dividends have been paid upon either the common or preferred stock of said corporation since the seizure of the stock herein ordered to be sold and that there has been such a variation and fluctuation in the earnings applicable to such stock over a period of several years as to preclude its classification as a proper investment for Trust funds.

Second: That the Deutsche Bank to whose credit said stock is held has requested the Alien Property Custodian to sell said stock and to accept an offer of $4,010,000.net, by the Bank of Manhattan Company, New York City, which offer appears to be an advantageous one for said stock. The investment of the proceeds from said sale in Liberty Bonds or Certificates of Indebtedness of the United States Government would result in a fair income from the investment and would prevent a possible loss of income through a decline of earnings of the corporation and would conserve the principal by reason of decline in the market price.

Third: That the sale of said stock will result in the realization in tangible form of an increase in principal by virtue of the appreciation of the market value of the stock since its seizure by the Alien Property Custodian.

[signature]

THE WHITE HOUSE,

February 10, 1927.

(No. 4581-A)